

THE SESSION • POST-CLOSE READ

Jobs Miss, *Chips Lead*

September payrolls rose just 29,000, the 10-year Treasury yield finished little changed near 5.3% after an early dip, and the S&P 500 gained 0.74%, with semiconductor and interconnect names among the leaders. Dividend Strategy +0.57% beat DVY and trailed SPY; Growth Portfolio +1.10% beat IUSG.

S&P 500 ▲ 0.74%

NASDAQ ▲ 1.17%

DOW ▲ 0.49%

VIX ▼ 6.04%

BRENT ~\$100-103

DIVIDEND STRATEGY

▲ BEAT DVY • TRAILED SPY

+0.57%

1-DAY

FCI		+0.57%
DVY		+0.22%
SPY		+0.74%

YTD +16.48% vs DVY +11.04% • SPY +13.75%

GROWTH PORTFOLIO

▲ BEAT IUSG

+1.10%

1-DAY

FCI		+1.10%
IUSG		+0.98%

YTD +23.19% vs IUSG +17.20%

THE SESSION

Equities advanced on Friday after a softer-than-expected September jobs report eased pressure on the Federal Reserve, with technology leading even as Treasury yields reversed an early decline. The S&P 500 gained 0.74% to 7,723, the Nasdaq rose 1.17% to 27,187 and the Dow added 0.49% to 51,177, while the VIX fell to 15.4. CNBC reports that nonfarm payrolls increased by 29,000 against forecasts of roughly 84,000 to 90,000, with the unemployment rate at 4.2%, and CNBC also notes that prior-month figures were revised lower by a combined 60,000. CNBC reports the 10-year Treasury yield initially fell after the release but closed up almost 5 basis points near 5.28%, and CME FedWatch data cited by CNBC show the market-implied probability of an October rate increase at about 17%, with a December increase still priced in. Crude oil was mixed across sources in a session of conflicting supply signals; Brent

traded in a range of roughly \$100 to \$103 a barrel depending on contract and source, and FXStreet reports higher Gulf export flows alongside stalled U.S.–Iran talks.

The Dividend Strategy gained 0.57%, ahead of DVY's 0.22% by 0.35 point and behind SPY's 0.74% by 0.17 point, with nineteen of twenty-five holdings higher. ADP was the largest drag, falling 2.38% to \$257.68 and subtracting more than 0.15 point; no company-specific news identified. Constellation Energy slipped 0.55% and General Dynamics 0.78%. Steel Dynamics led contribution, rising 2.57% to \$231.99, with Analog Devices +3.10% to \$417.15, which TradingKey links to investor reception of its previously announced Alif Semiconductor acquisition. Qualcomm gained 1.53%, Lam Research 2.17% to \$347.49 and Caterpillar 2.32% to \$845.55.

A weak labor print, a Treasury market that reversed an early dip and rising chip shares in one session. Our work is to know what each business earns through the cycle, not to trade the day's data.

The Growth Portfolio gained 1.10% while IUSG rose 0.98%, ahead by 0.12 point, with twenty of twenty-five holdings higher. Freeport-McMoRan was the largest contributor, rising 3.98% to \$72.04 and adding about 0.30 point; no company-specific news identified. Credo advanced 4.03% to \$218.64, Taiwan Semiconductor 2.99%, Keysight 2.84% and AMD 2.95% to \$633.91, while NVIDIA rose 1.34% to \$233.95. ServiceNow was the largest drag, falling 2.47% to \$134.36 and

subtracting about 0.24 point, giving back part of Thursday's gain with no company-specific news identified. SoFi slipped 0.54%. IBIT fell 0.48% and ETHA 1.28%. On the year, the Dividend Strategy stands at +16.48% against DVY's +11.04%, a +5.44-point spread, with SPY at +13.75%; the Growth Portfolio stands at +23.19% against IUSG's +17.20%, a +5.99-point spread.

FCI HOLDINGS • NOTABLE MOVERS

WINNERS

CRDO +4.03%

GROWTH

Closed at \$218.64, extending Thursday's gain; no new company-specific news identified.

FCX +3.98%

GROWTH

Closed at \$72.04, the Growth Portfolio's largest contributor; no company-specific news identified.

DECLINERS

NOW -2.47%

GROWTH

Fell to \$134.36, the largest drag on the Growth Portfolio, after Thursday's rebound; no company-specific news identified.

ADP -2.38%

DIVIDEND

Fell to \$257.68, the largest drag on the Dividend Strategy, on the day of the jobs report; no company-specific news identified.

HUT +3.79%

GROWTH

Closed at \$89.63; no company-specific news identified.

ADI +3.10%

DIVIDEND

Closed at \$417.15 as TradingKey links the move to investor reception of its previously announced Alif Semiconductor acquisition.

GD -0.78%

DIVIDEND

Closed at \$330.12; no company-specific news identified.

CEG -0.55%

DIVIDEND

Closed at \$257.49; no company-specific news identified.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+16.48%

vs DVY +11.04% / SPY +13.75%

Spread vs DVY +5.44 pts

GROWTH PORTFOLIO

+23.19%

vs IUSG +17.20%

Spread vs IUSG +5.99 pts